

much can go wrong, from unscrupulous contractors to unexpected surprises, falling housing prices, and insurance nightmares that eat into your costs. That said, in a tough economy, renovating is sometimes a good way to increase the value of your one big investment. A few small improvements can increase the value when it comes time to sell.

On the pages that follow are a few ways to ensure your renovations result in a good investment.

10 Ways to Renovate Smarter

- 1. Don't just get quotes.** Yes, you want to get some prices, but don't skip the references. It's not enough to do a cost comparison, because those costs invariably go up. (Count on paying at least 20 percent over the budget, by the way.) You need to know how close that contractor generally comes to the quote, and the only way to know that is by getting the numbers of the last few clients. Read reviews of potential contractors and companies you're thinking of hiring on sites that review contractors and other home improvement services. This is the purest form of word of mouth available.
- 2. Do some, not all, of it yourself.** Leave the plumbing and electrical to the pros, even if you have the skills, because doing it yourself could lead to insurance problems down the line. But why not paint the walls yourself? Slap on some overalls and buy good-quality paint and brushes. You cut about 20 percent off your budget by doing the messy, fussy part of the renovation yourself.
- 3. Do your own shopping.** A lot of contractors charge by the hour, and a lot of those hours are spent standing in line at IKEA or Home Depot. Get a list on a daily or weekly basis from your contractor for materials you don't need a contractor's discount to purchase. Spend your evenings picking up those small items,